

Kohler Co. Case

1.0 Executive Summary

Kohler Co., a family-owned business founded in 1873 and based in Wisconsin, is renowned for its plumbing fixtures, small engines, and luxury resorts. By 2000, it had grown into one of the largest privately-held U.S. companies, with over 17,500 employees and \$2 billion in annual sales. Herbert V. Kohler, Jr., the Chairman and CEO, faced a critical decision about a lawsuit challenging the company's 1998 recapitalization plan.

The recapitalization required non-family shareholders to sell their shares back to the company, while family shareholders could exchange theirs for a new class of non-transferable shares. Some shareholders filed a lawsuit, claiming that Kohler had significantly undervalued their shares in the buyout by a factor of five, and a trial was scheduled to determine the fair value of the company's stock.

The outcome of the trial had significant implications, not only for the family but also for the Kohler Foundation, which held substantial company stock, and the estate of Herbert's late brother, Frederic, as the IRS might use the court-determined share price for tax purposes. The challenge for Herbert Kohler was whether to settle with dissenting shareholders or proceed to trial, as a court-determined price could set a precedent for future valuations and affect the family's control over the company.

Kohler Co. had previously navigated challenges related to its ownership structure, including a 1978 reverse stock split to prevent regulatory scrutiny. Herbert Kohler had made efforts to preserve family control and keep the company private, emphasizing the advantages of long-term strategic planning without the pressure of public disclosure. The company's diverse portfolio included power systems, interiors, and hospitality, contributing to substantial revenue growth. However, the lawsuit's potential to increase the cost of recapitalization and disrupt the foundation's charitable activities posed a significant risk to Kohler's leadership and legacy.

The case ultimately highlighted the tension between maintaining private ownership and addressing the interests of non-family shareholders who sought a higher return on their investments.

2.0 Valuation of Kohler

The \$55,400 per share buyback price set by Kohler's board sparked a legal dispute. Minority shareholders argued that this price significantly undervalued the company. Some dissenting shareholders valued their shares as high as **\$273,000** per share. The central issue revolves around determining a fair value for Kohler's shares given its profitability and future growth prospects.

Kohler's status as a privately held company adds complexity to the valuation process, as its shares are not publicly traded, and there is limited market data available for direct comparison. Additionally, the company has no obligation to disclose financial details to minority shareholders beyond what is required by law.

Valuation Methods: Two main valuation methods are at play:

- **Discounted Cash Flow (DCF) Approach:** This method calculates the present value of future free cash flows, discounted by the weighted average cost of capital (WACC). Based on our calculations, Kohler's **enterprise value** is estimated to be around **\$1.40 billion**, leading to an equity value of **\$1.18 billion** and an implied share price of **\$158,725**.

The main assumptions used in our DCF approach include:

- Expected Market Return – **12.00%**. Based on the expected return for a U.S. private company in 1998.
 - Levered Beta – **1.15** derived by taking the average unlevered beta of Kohler's market comps and re-levering it using Kohler's D/E ratio.
 - WACC – We computed a WACC of **9.55%** for Kohler which was used to derive the PV of Future Cash Flows.
 - Perpetual Growth Rate – **2.50%**
- **Market Multiples (Comparable Companies) Approach:** This method compares Kohler to similar publicly traded companies using EV/EBITDA multiples. The median EV/EBITDA multiple from comparable companies (**5.80x**) suggests an **enterprise value** of **\$625 million**, leading to an equity value of **\$416 million** and an implied share price of **\$55,905** per share, which is in line with the company's buyback price.

The main assumptions used in our Market Multiples approach include:

- Median EV/EBITDA Comp Multiple – **5.80x**

- Kohler EBITDA (1997) - **\$107 million** derived by using Kohler's 1997 actual Operating Income After Depreciation plus expected D&A.
- Kohler Net Debt (1997) - **\$209 million**

Minority Shareholder Adjustments: A key issue in the case is determining the appropriate valuation for a **minority share** in Kohler. Minority shares typically face a **Minority discount** which reflects the limitations faced by minority shareholders, such as lack of influence over corporate decisions. Applying a minority discount of **25%** reduces the implied share value from **\$158,725** to approximately **\$119,044** in the DCF approach and from **\$55,905** to **\$41,929** in the Multiples approach.

To arrive at those figures, we first calculated the percentage of equity (**2,566 shares** or **34.5%**) minority stakeholders hold in Kohler and applied this to the equity values derived from both valuation methods above to get the minority equity value. We then divided the minority equity value by the number of shares minority shareholders hold to arrive at **\$119,044 / share** in the DCF approach and **\$41,929 / share** in the Multiples approach.

3.0 Assumptions for Kohler's Estimated Share Price of \$55,400

Based on the value per share (**\$55,905 / share**) derived from our Multiples approach calculation, we believe that Kohler's management used a similar approach when arriving at their quoted **\$55,400 / share** figure.

Alternatively, using the DCF approach would require us to manipulate some of the WACC inputs to arrive at a share price of **\$55,427 / share**. By changing the following inputs, we could arrive at Kohler's quoted share price.

- Expected Market Return – **19.00%**
- Kohler Levered Beta – **1.35**
- Perpetual Growth Rate – **1.00%**
- WACC – **16.38%**

4.0 Assumptions for Dissenting Shareholders' Estimate of \$273,400

Using the DCF approach would require us to manipulate some of the WACC inputs to arrive at a share price of **\$276,147 / share**, which is slightly higher than the dissenting shareholders' estimate. By changing the following inputs, we could arrive at a similar estimate.

- Expected Market Return – **9.00%**
- Kohler Levered Beta – **1.15**
- Perpetual Growth Rate – **3.00%**
- WACC – **7.36%**

5.0 Conclusion

In this case, we explored several valuation methods to determine the Enterprise Value of Kohler Co. and assessed the appropriate per-share value for minority shareholders.

Depending on which valuation method used, DCF vs Market Multiple, a case can be made for Kohler's estimated share price of **\$55,400 / share** or a higher price per share. However, neither one of our calculations has given us a share price that is close to the dissenting shareholders' estimate.

Our valuation range for Kohler is between **\$55,427 / share** at the low end, and **\$158,725 / share** at the high end.

Appendices

1. WACC Calculation

Weighted Average Cost of Capital		
Price per Share	\$	55,400
Number of Shares Outstanding		7,445
Market Value of Equity	\$	412,453,000
Short-Term Debt	\$	15,099,000
Long-Term Debt	\$	220,116,000
Market Value of Debt	\$	235,215,000
Cost of Debt		6.34%
Tax Rate		43.35%
D/(D+E)		36.32%
Risk Free Rate (10-year treasury yield)		5.64%
Expected Market Return		12.00%
Kohler Unlevered Beta		0.87
Kohler Levered Beta		1.15
Kohler Levered Beta - Hardcoded		1.15
E/(D+E)		63.68%
Cost of equity		12.95%
WACC:		9.55%
Perpetual Growth Rate		2.50%

2. Free Cash Flows

	8 months					
	1997A	1998E	1999E	2000E	2001E	2002E
Net Sales	\$ 2,213,403.00	\$ 1,511,000.00	\$ 2,240,528.00	\$ 2,393,187.00	\$ 2,509,100.00	\$ 2,608,385.00
COGS	\$ 1,637,385.00	\$ 1,125,884.00	\$ 1,690,366.00	\$ 1,780,531.00	\$ 1,862,103.00	\$ 1,933,387.00
Gross Profit	\$ 576,018.00	\$ 385,116.00	\$ 550,162.00	\$ 612,656.00	\$ 646,997.00	\$ 674,998.00
Selling & Administrative Expenses	\$ -	\$ 268,748.00	\$ 411,254.00	\$ 428,161.00	\$ 446,143.00	\$ 460,518.00
Amortization of Intangibles	\$ 380,091.00	\$ 13,680.00	\$ 12,876.00	\$ 12,876.00	\$ 12,876.00	\$ 12,876.00
EBIT	\$ 21,618.00	\$ 102,688	\$ 126,032	\$ 171,619	\$ 187,978	\$ 201,604
Tax Rate	43%	43%	43%	43%	43%	43%
Depreciation & Amortization	\$ 86,178.00	\$ 56,113	\$ 87,661	\$ 91,786	\$ 94,593	\$ 97,355
Capital Expenditure	\$ (90,707.00)	\$ (87,691)	\$ (105,000)	\$ (105,000)	\$ (105,000)	\$ (115,000)
Change in Working Capital		\$ (1,435)	\$ (5,762)	\$ (27,705)	\$ (17,702)	\$ (23,145)
FCF		\$ 28,033	\$ 59,824	\$ 111,718	\$ 113,790	\$ 119,714
Terminal Value						\$ 1,697,292
PV of FCF		\$ 25,588	\$ 49,845	\$ 84,966	\$ 78,995	\$ 75,861
PV of Terminal Value						\$ 1,075,549

3. Enterprise Value – DCF Approach

1a. Enterprise Value DCF Approach		
Enterprise Value		\$ 1,390,805
Cash		\$ 26,117
Total Debt		\$ 235,215
Net Debt		\$ 209,098
Equity Value		\$ 1,181,707
Number of Shares Outstanding		7,445
Value Per Share		\$ 158,725

4. Enterprise Value – Multiples Approach

1b. Enterprise Value Multiples Approach - EBITDA		
Average EV/EBITDA Multiple for Comps		7.21
Median EV/EBITDA Multiples for Comps		5.80
Kohler's EBIT		\$ 21,618
Kohler's D&A		\$ 86,178
Kohler's EBITDA		\$ 107,796
Enterprise Value - EBITDA		\$ 625,311.46
Net Debt		\$ 209,098.00
Equity Value		\$ 416,213.46
Value per Share		\$ 55,905

5. Value of a Minority Shareholder's Shares

2. Value of a Minority Shareholder's Shares		
Minority Discount		25.0%
Minority Equity Percentage		34.5%
Minority Equity Value - DCF		\$ 407,288.30
Discounted Minority Equity Value - DCF		\$ 305,466.23
Minority Number of Shares		2,566.00
Minority Equity Value - Multiples		\$ 143,452.48
Discounted Minority Equity Value - Multiples		\$ 107,589.36
Minority Value per Share - DCF		\$ 119,044
Minority Value per Share - Multiples Approach		\$ 41,929

6. Assumptions for Kohler's Estimated Share Price of \$55,400

3. Assumptions for Kohler's Estimated Share Price of \$55,400		
Expected Market Return		19.00%
Kohler Levered Beta - Hardcoded		1.35
Perpetual Growth Rate		1.00%
Value Per Share	\$	55,427

7. Assumptions for Dissenting Shareholders' Estimate of \$273,400

4. Assumptions for Dissenting Shareholders' Estimate of \$273,400		
Expected Market Return		9.00%
Kohler Levered Beta - Hardcoded		1.15
Perpetual Growth Rate		3.00%
Value Per Share	\$	276,147